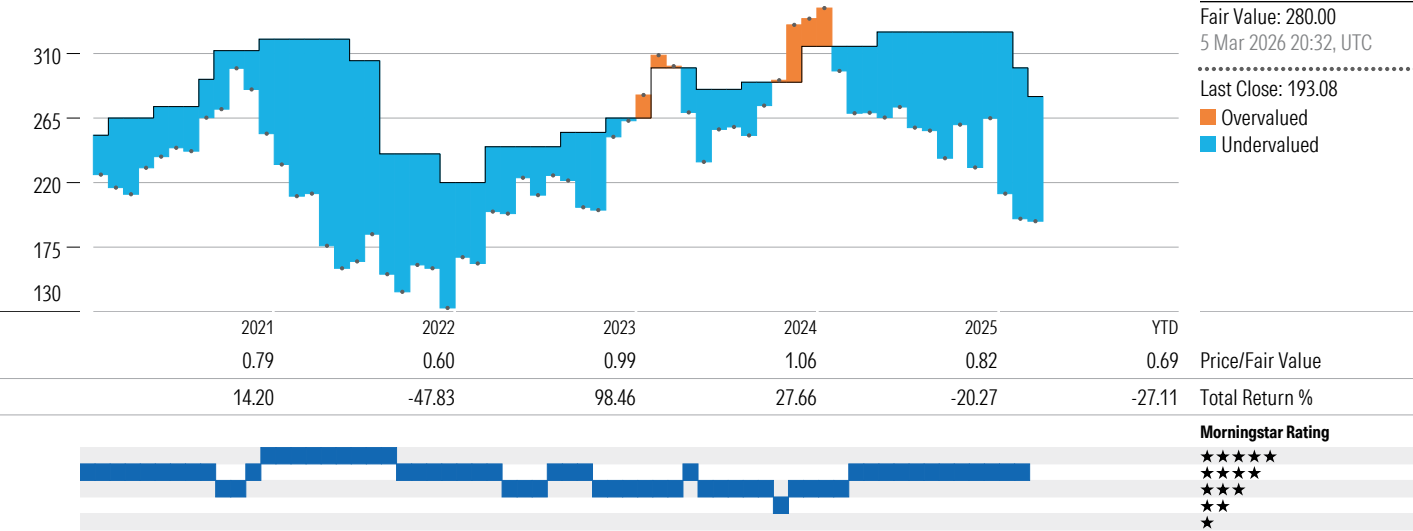


Salesforce Inc CRM ★★★★★ 5 Mar 2026 20:35, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
193.08 USD 4 Mar 2026	280.00 USD 5 Mar 2026 20:32, UTC	0.69	188.70 USD Bil 5 Mar 2026	Narrow	Large Value	High	Standard	 7 Jan 2026 06:00, UTC

Price vs. Fair Value



Total Return % as of 04 Mar 2026. Last Close as of 04 Mar 2026. Fair Value as of 5 Mar 2026 20:32, UTC.

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The primary analyst covering this company does not own its stock.

¹The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Downgrading the Moat Ratings on Six Wide-Moat Companies Based on AI Concerns

Analyst Note Dan Romanoff, CPA, Senior Equity Analyst, 5 Mar 2026

The pace of change in the software industry has accelerated in recent months, leading to heightened uncertainty and prompting us to reassess our moat ratings.

Why it matters: Large language model capabilities are rapidly advancing and seem primed to cause at least some disruption in the industry or, at worst, drive massive dislocation for many software firms.

► After an in-depth review of the software and services firms covered throughout Morningstar, we are downgrading moat ratings for a variety of companies, reducing fair value estimates, and increasing uncertainty ratings for our immediate coverage.

The bottom line: We downgrade our moat ratings to narrow, from wide, for each of the following companies: Adobe, Descartes, Manhattan Associates, Salesforce, ServiceNow, and Shopify, based on lower confidence in the long-term return profile software companies may generate in the AI era.

► We lower our fair value estimates as follows: Adobe \$380 (from \$560); Descartes \$90 (from \$96) or CAD 123 (from CAD 132); Manhattan Associates \$170 (from \$215); Salesforce \$280 (from \$300); ServiceNow \$165 (from \$200); and Shopify \$120 (from \$160) or CAD 164 (from CAD 217).

► We raise our Uncertainty ratings as follows: Blackbaud Very High (from Medium); Descartes High (from Medium); Guidewire High (from Medium); HubSpot Very High (from High); Atlassian Very High (from High); Tyler High (from Medium); and Zoom High (from Medium).

Salesforce Inc CRM★★★★5 Mar 2026 20:35, UTC

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4 Mar 2026	5 Mar 2026 20:32, UTC		5 Mar 2026					

Sector	Industry
Technology	Software - Application

Business Description

Salesforce provides enterprise cloud computing solutions. The company offers customer relationship management technology that brings companies and customers together. Its Customer 360 platform helps the group deliver a single source of truth, connecting customer data across systems, apps, and devices to help companies sell, service, market, and conduct commerce. It also offers Service Cloud for customer support, Marketing Cloud for digital marketing campaigns, Commerce Cloud as an e-commerce engine, the Salesforce Platform, which allows enterprises to build applications, and other solutions, such as MuleSoft for data integration.

Big picture: We have seen multiple “software is dead” episodes over the last 26 years and do not share the view that software moats have evaporated overnight. We therefore conclude there will be winners and losers in the AI era and that patient investors can find value within the software carnage.

► Our top pick is wide-moat Microsoft, which has a fair value estimate of \$600, as we think the firm should thrive regardless of AI. However, we think it is hard to recommend any software stock in this environment due to the extreme uncertainty.

Business Strategy & Outlook Dan Romanoff, CPA, Senior Equity Analyst, 26 Feb 2026

Salesforce has established itself as the clear leader in software for all aspects of the customer relationship journey. As the company has matured and growth has slowed, profitability has improved and the capital allocation strategy has evolved. We think the combination of these factors should continue to compound good earnings growth for years to come.

After introducing the software-as-a-service model to the world, Salesforce has assembled a front-office empire that it can build on for years to come, as Agentforce gains traction at the dawn of the agentic AI age. Sales Cloud represents the original salesforce automation product, which streamlined process management for sales leads and opportunities, contact and account data, process tracking, approvals, and territory tracking. Salesforce’s critical differentiator was that the software was accessed through a web browser and delivered over the internet, thus inventing the SaaS software delivery model. Service Cloud brought in customer service applications, and Marketing Cloud delivers marketing automation solutions. Finally, we think Data Cloud helps tie the offerings together. These solutions encompass nearly all aspects of customer acquisition and retention and, in our view, are mission-critical. Salesforce Platform also offers customers a platform-as-a-service solution, complete with the AppExchange, as a way to rapidly create and distribute apps. We believe this further strengthens the substantial community of Salesforce users.

Salesforce should benefit further from natural cross-selling among its clouds, upselling more robust features within product lines, vertical solutions, pricing actions, and international growth. Salesforce is widely considered a leader in each of its served markets, which is attractive on its own, but the tight integration among the solutions and the natural fit they have with one another make for a powerful value proposition, in our view. To that end, more than half of enterprise customers use multiple clouds. Further, customer retention has gradually improved over time and is better than 92%, which we expect can grind higher over time.

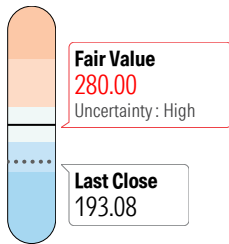
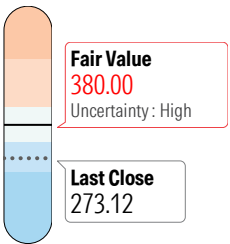
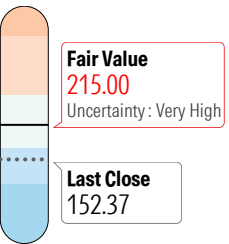
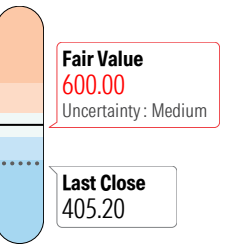
Bulls Say Dan Romanoff, CPA, Senior Equity Analyst, 5 Mar 2026

- Salesforce dominates its core CRM and service markets but still only controls 30% in a highly fragmented market that continues to grow in the 10% area each year, suggesting there is still room to run.

Salesforce Inc CRM ★★★★★ 5 Mar 2026 20:35, UTC

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Competitors

	Salesforce Inc CRM	Adobe Inc ADBE	Oracle Corp ORCL	Microsoft Corp MSFT
				
Economic Moat	Narrow	Narrow	Narrow	Wide
Currency	USD	USD	USD	USD
Fair Value	280.00 5 Mar 2026 20:32, UTC	380.00 5 Mar 2026 20:20, UTC	215.00 5 Mar 2026 19:28, UTC	600.00 31 Jul 2025 03:51, UTC
1-Star Price	434.00	589.00	376.25	810.00
5-Star Price	168.00	228.00	107.50	420.00
Assessment	Undervalued 5 Mar 2026	Undervalued 5 Mar 2026	Undervalued 5 Mar 2026	Undervalued 5 Mar 2026
Morningstar Rating	★★★★★ 5 Mar 2026 20:35, UTC	★★★★★ 5 Mar 2026 20:22, UTC	★★★★★ 5 Mar 2026 19:30, UTC	★★★★★ 4 Mar 2026 22:25, UTC
Analyst	Dan Romanoff, Senior Equity Analyst	Dan Romanoff, Senior Equity Analyst	Luke Yang, Equity Analyst	Dan Romanoff, Senior Equity Analyst
Capital Allocation	Standard	Exemplary	Standard	Exemplary
Price/Fair Value	0.69	0.74	0.71	0.68
Price/Sales	4.45	4.91	7.23	9.90
Price/Book	3.03	9.70	14.61	7.70
Price/Earning	24.95	16.41	30.73	25.65
Dividend Yield	0.86%	0.00%	1.31%	0.86%
Market Cap	188.70 Bil	115.65 Bil	444.88 Bil	3,049.56 Bil
52-Week Range	174.57—298.08	244.28—453.26	118.86—345.72	344.79—555.45
Investment Style	Large Value	Large Value	Large Blend	Large Blend

- The company has added legs to the overall growth story, including customer service, marketing automation, e-commerce, analytics, and artificial intelligence.
- As growth has decelerated, management is focused on improving margins and enhanced capital returns in the form of both dividends and stock buybacks.

Bears Say Dan Romanoff, CPA, Senior Equity Analyst, 5 Mar 2026

- As the company grows larger, it may be increasingly difficult for Salesforce to grow faster than its various end markets.
- Salesforce has entered new areas via acquisition and has arguably paid material premiums in the process. Integration risk is real, as is the risk of increasingly large, dilutive, or ill-conceived deals.
- The company's generative AI strategy has been a series of fits and starts. Even as Agentforce is now gaining traction, AI increases the risk of new or enhanced competition and pressure on existing seat counts.

Salesforce IncCRM★★★★5 Mar 2026 20:35, UTC

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Economic Moat Dan Romanoff, CPA, Senior Equity Analyst, 5 Mar 2026

For Salesforce overall, we assign a narrow moat rating, driven primarily by switching costs, with network effect serving as a secondary moat source. Based on the firm's product lines, we believe that Sales Cloud, Service Cloud, Salesforce Platform, Marketing and Commerce Cloud, and Integration and Analytics each have a narrow moat. Agentforce should help defend the company's moat from the emerging AI threat. While services, which is a small portion of revenue, help facilitate software sales and contribute to customer relationships, we do not think the company's professional services business would warrant a moat on a stand-alone basis. We believe Salesforce's moat will probably allow the company to earn returns in excess of its cost of capital over the next 10 years. Given the unknowns surrounding what impact AI will have on many software companies, we think it is inappropriate to assign a "near certainty" level of confidence to the return profile over the next decade.

We believe customers value Salesforce's discrete clouds as stand-alone solutions, but the various clouds are highly complementary and tightly integrated, making the complete set of solutions more compelling. In our opinion, the strength of these clouds is important, but it should not overshadow the fact that all the solutions offered under one Salesforce umbrella are important, as customers are usually looking to consolidate vendors. These factors combine to reinforce our moat rating. As Salesforce offers a wider set of related and best-in-class solutions, we believe it becomes more deeply entrenched in its customers as they adopt multiple clouds.

In our view, software switching costs are often driven by several factors. The more critical the function and the more touch points across an organization a software vendor has, the higher the switching costs. There is also the direct time and expense of implementing a new software package for the customer while maintaining the existing platform and retraining employees on a new system. Additionally, there is an operational risk of changing software vendors, including business process re-engineering, loss of data during the changeover, and overall project execution. A major implementation is likely to involve a system integrator and can take in excess of a year in bad cases. Lastly, lost productivity is likely to be an issue as customers move up a learning curve on the new system, along with the distraction of users involved in the function where the change is occurring.

Retention metrics typically help inform investors on both the presence and the durability of a moat. These come in two flavors: gross, which describes what percentage of the customer base remains customers after a given period, and net, which highlights what percentage of customer spending is retained by the software provider after a given period. Salesforce's customer retention has been improving gradually over the last 20 years and now sits at approximately 92% annually, which we characterize as good. Software firms regularly see lower retention rates among small-business users than among enterprise customers, so retention is weighed down by a large share of small-business customers in the company's mix.

Salesforce Inc CRM ★★★★★ 5 Mar 2026 20:35, UTC

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We believe Sales Cloud and Service Cloud enjoy narrow moats based on switching costs. Both of these clouds represent approximately 25% of subscription revenue. Key modules within Sales Cloud include buyer engagement, sales engagement, team collaboration, sales analytics, sales programs, partner management, performance management, configure, price, and quote, and billing. Critical elements of Service Cloud cover customer service automation, field service, self-service experience, omnichannel customer engagement, agent and mobile worker productivity, intelligent service operations, contact center, and voice support.

The CRM and Service suites are mission-critical to business users in that they drive the selling and servicing processes, contain all known information on the customer base, and are tied into a variety of other back-end systems, such as accounting, accounts receivable, inventory, customer service, customer relationship management, marketing, and email, among others. Changing out either the CRM or customer service applications then becomes a serious undertaking that users are usually unwilling to undertake because of the time, expense, and operational risk involved.

Salesforce revolutionized the software industry in 2000 with the release of its salesforce automation application. It generally had a feature set competitive with other CRM packages, but offered workflow streamlining capabilities and was accessed through a browser and delivered over the internet. The streamlining capabilities were critical and represent the automation portion of the product name. We now refer to this business model as software as a service. While the company did not invent the CRM, it represented a variety of critical technology and category advancements. Service Cloud is a natural extension of Sales Cloud and was the company's second core product.

Salesforce is considered a leader in software solutions for both the CRM and customer service industries. We believe the company's offerings are still considered best of breed despite being part of a much larger software provider. There is no shortage of competition, including point solutions from upstart vendors to modules included in enterprise resource planning behemoths, and open-source software. However, we believe that Salesforce's offerings are best in class and that the inclusion of its other offerings cements the company's lead.

We think the Salesforce Platform enjoys a narrow moat based on switching costs and network effects. This segment accounts for approximately 20%-25% of subscription revenue. This segment has evolved over time and includes Slack, the application development platform, as well as other solutions. Application development platforms are sticky in that they serve as the core platform on which businesses and processes are built, and switching could be highly disruptive and expensive for developers. The network effect arises from the fact that the software is extensible, the company provides software development kits, offers a development platform, maintains an application exchange, and has worked with leading system integrators to establish a large ecosystem of consulting partners.

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Salesforce was early to the market with a cloud-based application development platform for customers, including low-code and no-code development. Use of the platform provided the low-investment benefits of a SaaS product, allowed for immediate and smooth integration with Salesforce's solutions, and also allowed developers to sell and distribute their applications on the company's AppExchange.

The AppExchange was revolutionary and was very enticing to developers. A variety of publicly traded companies started out as apps developed on the platform and initially distributed on the AppExchange. The popularity of Salesforce's solutions attracts developers; the company provides a robust, easy-to-use application development platform, and developers create additional applications, often built as add-ons to various Salesforce solutions, to extend the software's functionality. We believe these dynamics allow Salesforce to continue to benefit from network effects. That is, as more customers adopt any of the company's solutions, the AppExchange provides an ever-expanding audience, making it incrementally more attractive to developers and perpetuating a virtuous cycle. We also think the large ecosystem of consultants that have built practices around Salesforce furthers the network effects.

Salesforce reports Marketing Cloud and Commerce Cloud as a single segment, which represents approximately 15% of subscription revenue and, in our view, has a narrow moat due to switching costs. Key Marketing Cloud applications include marketing automation, email marketing, mobile advertising, personalization, analytics, and loyalty programs. Commerce Cloud applications include digital storefronts, customer acquisition, loyalty programs, reporting and insights, and order management and fulfillment.

Digital experience solutions are relatively new compared with CRM and customer service, and there is a wide range of large competitors across marketing analytics, campaign management, customer engagement, advertising platforms, and related areas. While this has been a rapidly emerging area, we see several companies emerging as leaders with a holistic and complete platform. One of these leaders is Salesforce, who offers a tightly integrated and robust platform and is well positioned to capture an outsized position in this fluid and dynamic market.

We view Marketing Cloud and Commerce Cloud as natural extensions of Salesforce's core solutions, and they are also mission-critical to the users' operations. Once these applications are integrated into a business process workflow, we believe they are difficult to change. A digital experience platform, by its very nature, is complex, involving numerous applications and touching a wide range of systems and data repositories used by the customer.

Unlike salesforce automation, Salesforce does not have a first-mover advantage in these areas. Indeed, the company's first marketing foray was the acquisition of ExactTarget, while Commerce Cloud was established with the acquisition of Demandware. The company has made other acquisitions to bolster these emerging areas and has also organically added solutions to the portfolio.

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We think the Integration and Analytics segment, which accounts for approximately 15% of subscription revenue, enjoys a narrow moat due to switching costs. MuleSoft, Informatica, and Tableau are included here. We view this segment as an add-on solution to the company's other main offerings. It pulls in data from disparate sources and helps connect data in commerce, sales, marketing, and service areas into a single interface. We therefore think realistically that these solutions enhance the moats of the other clouds, as it makes those applications more useful to customers. Lastly, professional services represents approximately 5% of revenue and do not warrant an economic moat.

Fair Value and Profit Drivers Dan Romanoff, CPA, Senior Equity Analyst, 5 Mar 2026

Our fair value estimate for Salesforce is \$280 per share, which implies a fiscal 2027 enterprise value/sales multiple of 6 times, adjusted price/earnings multiple of 21 times, and a 5% free cash flow yield.

We model a five-year compound annual growth rate for total revenue of 9% through fiscal 2031, which we think will be driven by solid but slowing growth in all clouds, with the most notable strength coming from the data cloud in support of AI. Our revenue forecast assumes modest revenue acceleration after depressed growth in both fiscal 2023 and 2024. We forecast non-GAAP operating margin expanding from 34% in fiscal 2026 (actual) to the upper 30% area in fiscal 2031. We note our estimates are meaningfully below management's longer-term framework as we wrestle with AI uncertainty.

We believe the underlying markets are large and growing. According to management, the total addressable market will grow to \$248 billion in 2025, with compound annual growth rates for the markets served by Salesforce's various clouds generally in the low-double-digit percentage area, notwithstanding the slowdown since the pandemic. In our view, the company will benefit from natural cross-selling of solutions among the clouds. To help support a decade of strong growth, we model several hundred million dollars in bolt-on acquisitions annually after a strategic shift away from inorganic growth.

Risk and Uncertainty Dan Romanoff, CPA, Senior Equity Analyst, 26 Feb 2026

We assign Salesforce a Morningstar Uncertainty Rating of High. From a big-picture perspective, we believe CEO Marc Benioff will be difficult to replace, as he pioneered the software industry, co-founded the firm, and led it to be a dominant force with a broad portfolio of sales and marketing-related solutions.

Generative AI is an emerging risk for software vendors. In the most pessimistic view, AI can be considered a threat to certain types of software. More positively, AI can be seen as an opportunity for incumbent vendors to embed their own AI solutions into their platforms, thereby potentially enhancing revenue and strengthening their moats. Salesforce largely operates on a seat-based model, which may face pressure from AI-driven efficiency gains, but offers AI features on a consumption basis. After

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several missteps early in the AI evolution, we think Agentforce is now on a positive trajectory.

We believe the most important metric for Salesforce investors is revenue growth. Therefore, continued top-line deceleration or growth that does not materialize as expected would likely have an adverse impact on the stock.

To help drive growth, Salesforce has also been acquisitive. While we do not believe acquisitions have been transformative, the company has certainly executed some larger transactions in order to help establish an immediate or larger presence with a particular solution. Investors have been concerned at times about rich valuations and organic growth prospects, as was the case with the Slack, Tableau, and MuleSoft acquisitions over the last several years. We believe the company is likely to continue to make acquisitions but has pulled back from larger deals. In these situations, valuation and integration will remain risks.

While we do not see significant environmental, social, and governance risks, Salesforce faces strong competition for software engineers on the hiring front and also faces risks arising from a potential data breach in its data centers.

Capital Allocation Dan Romanoff, CPA, Senior Equity Analyst, 26 Feb 2026

We assign Salesforce a Standard Morningstar Capital Allocation Rating. This rating reflects our assessments of a sound balance sheet, fair investments, and appropriate shareholder distributions. Salesforce has dramatically changed its capital allocation strategy beginning in August 2022, when it began a formal share repurchase program. Then, in February 2024, the firm instituted a quarterly dividend. We expect a balanced approach between buybacks, dividends, and internal investments for product innovation in general, but a more aggressive repurchase approach is likely throughout fiscal 2027.

While Salesforce has been active historically from an acquisition standpoint, including large deals, we expect deals to skew smaller and occur with less frequency going forward. We have a strong preference that the company avoid larger deals, given the complications arising from integration, the opaque nature of the underlying growth of the core business, and the potential to erode investor confidence in management focus.

After spending 13 years at Oracle in various leadership roles in sales and product development, Marc Benioff cofounded Salesforce.com in 1999 with the “end of software” mission statement. In 2000, the company released the original version of its salesforce automation product and offered it solely in a SaaS model. This delivery model revolutionized the industry, and 20 years after forming the company, while Benioff has yet to fully achieve his goal of ending the on-premises software model, it is clear he has steered the industry along the path he envisioned. Benioff’s constant presence is important because we are somewhat cautious in a steady stream of C-suite executives leaving the firm over the last several years, including Keith Block, Bret Taylor, Brian Millham, and Amy Weaver.

Salesforce Inc CRM ★★★★★ 5 Mar 2026 20:35, UTC

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Analyst Notes Archive

Salesforce Earnings: Signs of Acceleration in a Solid Quarter Overall Dan Romanoff, CPA, Senior Equity Analyst, 26 Feb 2026

Salesforce's fiscal fourth-quarter revenue grew 10% in constant currency to \$11.20 billion, while non-GAAP operating margin was 34.2%. Fiscal 2027 guidance is approximately in line with FactSet consensus estimates on the top and bottom lines. Why it matters: Artificial intelligence remains key, and momentum here is positive, with total Agentforce and Data 360 annual recurring revenue of \$2.9 billion, up 200% year over year, while stand-alone Agentforce ARR passed \$800 million and was up 169% year over year. Both subscriptions and services were about in line with our model, with the various clouds coming in about as expected. Billings accelerated again to 18% year-over-year growth, topping revenue growth and consistent with management's call for top-line acceleration in the second half. The bottom line: We lower our fair value estimate for Salesforce to \$300 per share from \$325 previously, on lower long-term growth estimates. The seat-based model the firm uses is under intense scrutiny, which pressured software stocks in 2025 and into 2026, despite our belief that AI is more of a tool than a threat. While shares look cheap, we note the AI fear around software with our High Morningstar Uncertainty Rating. For context, our model shows a fair value of \$240 with growth beyond year 10 set at 0%. We also note that our model is meaningfully below management's fiscal 2030 targets. We think wide-moat Salesforce will survive the current iteration of the death of software and probably even thrive in the age of AI. That said, it is hard to recommend any software stock in this environment of extreme uncertainty. Coming up: The fiscal 2027 outlook is slightly better than we expected, with revenue of \$45.80 billion to \$46.20 billion, a 34.3% non-GAAP operating margin, and non-GAAP earnings per share of \$13.11-\$13.19. Management's confidence around revenue acceleration is higher, so much so that they have firmed up the timeline to the second half of fiscal 2027.

Salesforce Earnings: AI Momentum Is Undeniable With Notable Strength in Agentforce Dan Romanoff, CPA, Senior Equity Analyst, 4 Dec 2025

Salesforce's fiscal third-quarter revenue grew 8% in constant currency to \$10.26 billion, while non-GAAP operating margin was 35.5%. Fourth-quarter guidance is as expected after normalizing for the inclusion of Informatica, which recently closed. Why it matters: Artificial intelligence is top of mind for investors, and momentum here is clearly growing, with Agentforce and Data 360 annual recurring revenue of \$1.4 billion, up 114% year over year, while stand-alone Agentforce ARR passed \$500 million and was up 330% year over year. Subscriptions and services were both in line with our model, with Data 360 shy of our expectations and Platform and Other better than we anticipated. Billings accelerated to 13% year-over-year growth, topping revenue growth and boding well for the near term. The bottom line: We maintain our fair value estimate of \$325 per share and see the stock as attractive. The seat-based

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model Salesforce employs has come under intense scrutiny and pressured most of our software coverage throughout 2025, despite our belief that AI is more tool than threat. We remind investors that management has guided toward becoming a rule-of-50 firm on its march toward \$60 billion in revenue by 2030, and that our model is more conservative. Assuming the firm shows meaningful progress over the next several years, shares would have even more upside. Coming up: The fourth-quarter outlook formally includes the Informatica deal, which closed on November 18. After normalizing for the acquisition, we characterize guidance as consistent with broader expectations. Management was enthusiastic about the building pipeline and the growing usage of AI and still expects revenue to accelerate within 12-18 months. Fourth quarter guidance calls for \$11.13 billion to \$11.23 billion in revenue, which includes approximately \$300 million in incremental sales from Informatica based on our calculations, while the full-year outlook for non-GAAP operating margin remains stable at 34.1%.

Salesforce: Agentic Enterprise to Drive \$60 Billion in Revenue by 2030 Dan Romanoff, CPA, Senior Equity Analyst, 17 Oct 2025

Salesforce hosted an investor day at Dreamforce 2025, focusing on artificial intelligence and its Agentforce 360 Solution. Management also introduced new long-term financial targets, including at least \$60 billion in revenue and to be a rule of 50 company by 2030. Why it matters: The stock has lagged enterprise software peers in recent months, which we think is due to the growth deceleration post-covid and uncertainty around AI adoption. The revenue and margin targets are both meaningfully ahead of our model. Our revenue estimates are slightly below FactSet consensus for fiscal 2026 and slightly above for fiscal 2027. In order to hit management's \$60 billion in revenue target, we have to boost our growth rate by about 150 basis points annually—and this excludes the pending Informatica acquisition. In order to hit management's rule of 50 framework, they would need to generate a non-GAAP operating margin of 40% on top of the 10% revenue growth, so we would have to raise our margin assumptions by at least 200 basis points annually. The bottom line: We are maintaining our fair value estimate of \$325 per share and see shares as attractive even without adjusting our model for management's new fiscal 2030 targets. All else equal, if we made our model in line with these guideposts, our fair value would be about \$50 higher. We would prefer to see evidence of sustained revenue acceleration and more substantial margin improvements before increasing our estimates to fully reflect these bullish guideposts. Big picture: Management expects the newly released Agentforce 360 to be at the center of the company's growth strategy, as all of Salesforce's applications have been re-architected to have Agentforce serve as the base of everything, hence the agentic enterprise theme. Agentforce 360 is the fourth iteration of Agentforce, demonstrating the company's ability to rapidly innovate and deliver on customer feedback, including more flexible pricing options.

Salesforce Earnings: Data Cloud and AI Momentum Help Drive Good Results, With Guidance More In Line Dan Romanoff, CPA, Senior Equity Analyst, 4 Sep 2025

Salesforce Inc CRM ★★★★★ 5 Mar 2026 20:35, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
193.08 USD 4 Mar 2026	280.00 USD 5 Mar 2026 20:32, UTC	0.69	188.70 USD Bil 5 Mar 2026	 Narrow	 Large Value	High	Standard	 7 Jan 2026 06:00, UTC

Salesforce's fiscal second-quarter results topped the high end of guidance, with revenue growth of 9% in constant currency to \$10.24 billion, while non-GAAP operating margin was 34.3%. Despite this strength, guidance was largely in line with the FactSet consensus. Why it matters: Subscriptions were ahead of our model, while services were in line. Data cloud and artificial intelligence annual recurring revenue, or ARR, of \$1.2 billion was up 120% year over year. For the second straight quarter, management was positive on strength in small business customers. Data and AI products were in 60 deals greater than \$1 million, with 40% of bookings from this business coming from expansions at existing clients. The firm has closed more than 12,500 Agentforce deals so far, about half of which are paid. Further, 80% of new Agentforce bookings are flex credits. Multicloud deals continue to perform well, with 70% of the top 100 deals in the quarter including five or more clouds. The bottom line: We keep our fair value estimate of \$325 per share and see shares as attractive. While we are more concerned with the longer-term growth and profitability trajectory, our near-term estimates are a thin slice below broader Wall Street expectations. Coming up: Salesforce raised the midpoint of revenue guidance for the full year by less than the quarterly upside. It expects a further \$50 million boost from currency, which suggests the firm is more cautious about the fourth quarter. Third-quarter guidance was about as anticipated. Guidance for fiscal 2026 includes sales of \$41.1 billion to \$41.3 billion, which raises the low end by \$100 million, with non-GAAP operating margin now at 34.1%, up 10 basis points. Third-quarter guidance includes revenue of \$10.24 billion to \$10.29 billion and non-GAAP EPS of \$2.84 to \$2.86. Management was bullish during the analyst call, noting acceleration in bookings and ARR, which suggests that guidance could be conservative.

Salesforce Earnings: Good Quarter With Agentforce Momentum Building Dan Romanoff, CPA, Senior Equity Analyst, 29 May 2025

Salesforce reported results for its fiscal first quarter that were ahead of the top end of guidance. Revenue growth of 8%, both as reported and in constant currency, to \$9.83 billion was driven primarily by strength in data cloud, while non-GAAP operating margin was 32.3%. Why it matters: Both subscriptions and services were ahead of our model, with Agentforce and data cloud providing notable strength during the quarter. We see solid results around the world and note management's positive remarks on strength in small business customers. Multicloud deals continue to perform well, with more than half of the top 100 deals in the quarter including six or more clouds. Almost 60% of the top 100 deals include both data cloud and artificial intelligence. Salesforce has closed more than 8,000 Agentforce deals so far, half of which are paid. Agentforce is generating \$100 million in annually recurring revenue, which is impressive given the solution has been available for just two full quarters. The bottom line: We are raising our fair value estimate to \$325 per share from \$315 and see shares as attractive. Based on results and guidance that skew positive, we nudged our near-term estimates slightly higher while holding our long-term model in check. Management offered broad commentary on the Informatica deal, announced yesterday, noting the importance of the firm's data integration tools in

Salesforce Inc CRM ★★★★★ 5 Mar 2026 20:35, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
193.08 USD 4 Mar 2026	280.00 USD 5 Mar 2026 20:32, UTC	0.69	188.70 USD Bil 5 Mar 2026	 Narrow	 Large Value	High	Standard	 7 Jan 2026 06:00, UTC

the AI age and recommitted to both its capital allocation strategy and margin targets. Coming up: Management raised guidance for the full-year beyond quarterly upside, including an assist from improving currency impacts. Given product momentum, we see potential for results that track even better throughout the year. Guidance for fiscal 2026 includes revenue of \$41.0 billion to \$41.3 billion, up from \$40.5 billion to \$40.9 billion previously, with non-GAAP operating margin unchanged at 34.0%. Second-quarter guidance was better than we were modelling on both the top and bottom lines.

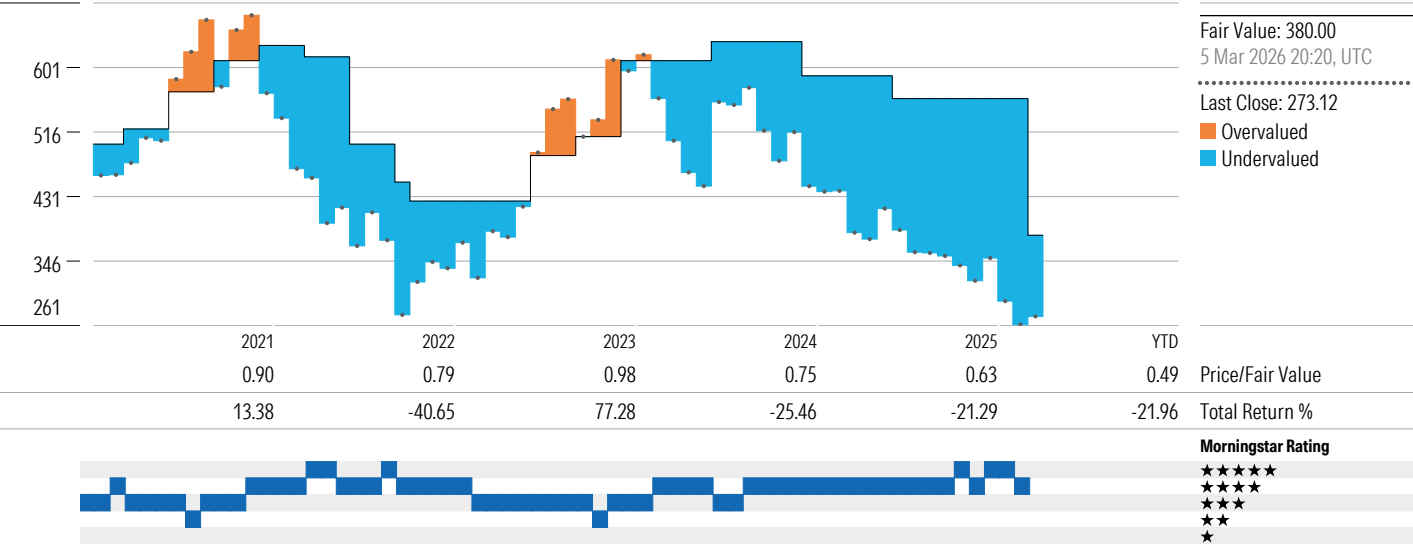
Salesforce: Acquiring Informatica to Bolster AI Offerings Dan Romanoff, CPA, Senior Equity Analyst, 27 May 2025

Salesforce has entered into an agreement to acquire Informatica for \$25 per share, or approximately \$8 billion, which excludes the portion of the firm that Salesforce does not already own. The transaction is expected to close in fiscal 2027. Why it matters: This is the first substantial deal for Salesforce since it acquired Slack in July 2021. Salesforce was reportedly in talks to acquire Informatica in April 2024. Our reaction to that was skewed negatively because Informatica grows more slowly and earns lower margins than Salesforce. We see the strategic value of the deal and appreciate the lower purchase price relative to indications of \$10 billion-\$13 billion a year ago. An \$8 billion deal price equates to 3% of Salesforce's market cap, which is generally not material. We believe that the Slack deal significantly contributed to the shareholder revolt that led to substantial changes within Salesforce, including significantly higher operating margins, lower stock-based compensation, increased share buybacks, a quarterly dividend, and lower acquisition activity. The bottom line: Our fair value estimate for wide-moat Salesforce is unchanged at \$315 per share. We clearly see the strategic rationale for combining Informatica's data integration platform with Salesforce's own data cloud, but we acknowledge top- and bottom-line dilution. We are upbeat about strategy, as this transaction is likely to reinforce Salesforce's AI platform. The company's MuleSoft acquisition made it easier for customers to connect applications, and this deal would be along similar lines, in our view. While we see no immediate change to our long-term thinking on Salesforce, the timing of the deal can potentially tilt negative on how the April quarter unfolded, but the market seems to be shrugging off the acquisition. Coming up: Salesforce reports first-quarter earnings for fiscal 2026 tomorrow after the close, when we expect to hear details from management surrounding the acquisition. ■■■

Salesforce Inc CRM ★★★★★ 5 Mar 2026 20:35, UTC

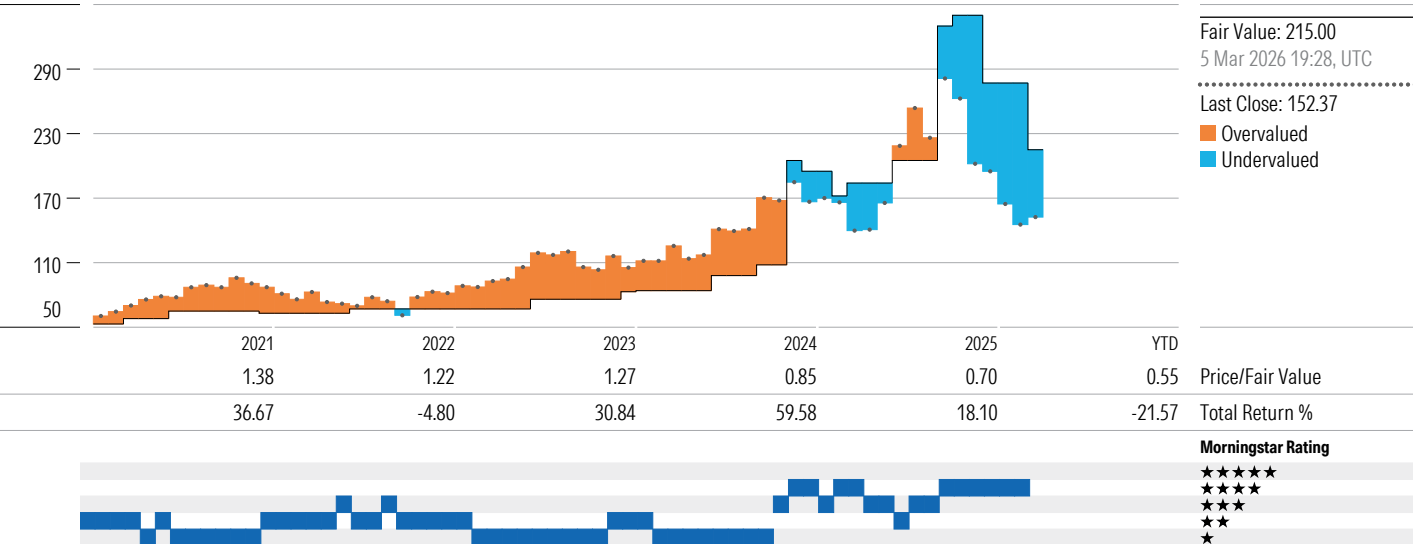
Competitors Price vs. Fair Value

Adobe Inc ADBE



Total Return % as of 04 Mar 2026. Last Close as of 04 Mar 2026. Fair Value as of 5 Mar 2026 20:20, UTC.

Oracle Corp ORCL

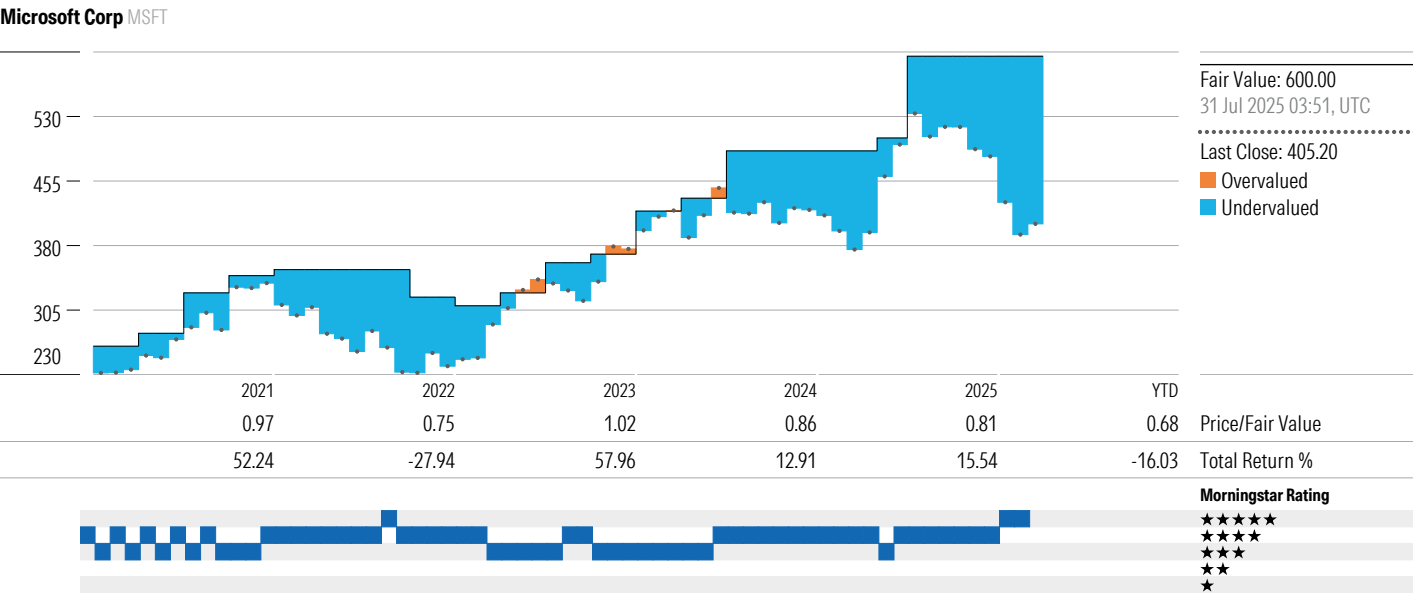


Total Return % as of 04 Mar 2026. Last Close as of 04 Mar 2026. Fair Value as of 5 Mar 2026 19:28, UTC.

Salesforce Inc CRM ★★★★★

5 Mar 2026 20:35, UTC

Competitors Price vs. Fair Value



Total Return % as of 04 Mar 2026. Last Close as of 04 Mar 2026. Fair Value as of 31 Jul 2025 03:51, UTC.

Salesforce Inc CRM ★★★★★

5 Mar 2026 20:35, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
193.08 USD 4 Mar 2026	280.00 USD 5 Mar 2026 20:32, UTC	0.69	188.70 USD Bil 5 Mar 2026	Narrow	Large Value	High	Standard	7 Jan 2026 06:00, UTC

Morningstar Valuation Model Summary

Financials as of 04 Mar 2026

Fiscal Year, ends 31 Jan	Actual			Forecast				
	2024	2025	2026	2027	2028	2029	2030	2031
Revenue (USD Mil)	34,857	37,895	41,525	46,004	50,022	54,158	58,407	62,770
Operating Income (USD Mil)	5,011	7,205	8,331	9,526	11,368	13,106	14,835	16,697
EBITDA (USD Mil)	7,950	10,038	12,122	12,397	14,677	15,977	17,335	18,756
Adjusted EBITDA (USD Mil)	7,950	10,038	12,122	12,397	14,677	15,977	17,335	18,756
Net Income (USD Mil)	4,136	6,197	7,457	7,400	9,107	10,181	11,526	12,975
Adjusted Net Income (USD Mil)	8,087	9,930	11,969	12,301	14,007	15,693	17,175	18,679
Free Cash Flow To The Firm (USD Mil)	11,980	12,860	7,919	13,950	15,091	17,449	18,513	19,602
Weighted Average Diluted Shares Outstanding (Mil)	984	974	956	937	937	937	937	937
Earnings Per Share (Diluted) (USD)	4.20	6.36	7.80	7.90	9.72	10.87	12.30	13.85
Adjusted Earnings Per Share (Diluted) (USD)	8.22	10.20	12.52	13.13	14.95	16.75	18.33	19.93
Dividends Per Share (USD)	0.00	1.60	1.66	1.76	1.90	2.05	2.22	2.39

Margins & Returns as of 04 Mar 2026

	3 Year Avg	Actual			Forecast					5 Year Avg
		2024	2025	2026	2027	2028	2029	2030	2031	
Operating Margin %	18.9	14.4	19.0	20.1	20.7	22.7	24.2	25.4	26.6	24.0
EBITDA Margin %	—	22.8	26.5	29.2	27.0	29.3	29.5	29.7	29.9	—
Adjusted EBITDA Margin %	—	22.8	26.5	29.2	27.0	29.3	29.5	29.7	29.9	29.1
Net Margin %	15.4	11.9	16.4	18.0	16.1	18.2	18.8	19.7	20.7	18.7
Adjusted Net Margin %	26.1	23.2	26.2	28.8	26.7	28.0	29.0	29.4	29.8	28.6
Free Cash Flow To The Firm Margin %	29.1	34.4	33.9	19.1	30.3	30.2	32.2	31.7	31.2	31.1

Growth & Ratios as of 04 Mar 2026

	3 Year CAGR	Actual			Forecast					5 Year CAGR
		2024	2025	2026	2027	2028	2029	2030	2031	
Revenue Growth %	9.8	11.2	8.7	9.6	10.8	8.7	8.3	7.9	7.5	8.6
Operating Income Growth %	100.7	386.5	43.8	15.6	14.3	19.3	15.3	13.2	12.6	14.9
EBITDA Growth %	56.7	123.1	26.3	20.8	2.3	18.4	8.9	8.5	8.2	9.3
Adjusted EBITDA Growth %	50.4	123.1	26.3	20.8	2.3	18.4	8.9	8.5	8.2	9.1
Earnings Per Share Growth %	234.4	1914.7	51.4	22.6	1.3	23.1	11.8	13.2	12.6	12.2
Adjusted Earnings Per Share Growth %	234.4	56.8	24.1	22.8	4.9	13.9	12.0	9.4	8.8	12.2

Valuation as of 04 Mar 2026

	Actual			Forecast				
	2024	2025	2026	2027	2028	2029	2030	2031
Price/Earning	34.2	33.5	17.0	14.7	12.9	11.5	10.5	9.7
Price/Sales	4.7	7.2	7.9	3.9	3.6	3.3	3.1	2.9
Price/Book	4.6	5.4	3.4	2.9	2.6	2.3	2.1	1.9
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	21.0	27.3	27.0	—	—	—	—	—
EV/EBIT	33.3	38.0	39.3	—	—	—	—	—
Dividend Yield %	—	0.5	0.8	0.9	1.0	1.1	1.2	1.2
Dividend Payout %	0.0	15.7	13.3	13.4	12.7	12.3	12.1	12.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 04 Mar 2026

Fiscal Year, ends 31 Jan	Actual			Forecast				
	2024	2025	2026	2027	2028	2029	2030	2031
ROA %	4.1	6.0	6.6	8.2	9.5	9.7	10.0	10.3
ROE %	6.9	10.1	12.6	12.0	13.2	13.2	13.3	13.3
ROIC %	18.5	20.3	17.9	18.3	17.3	16.2	15.8	15.7

Salesforce Inc CRM ★★★★★

5 Mar 2026 20:35, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
193.08 USD 4 Mar 2026	280.00 USD 5 Mar 2026 20:32, UTC	0.69	188.70 USD Bil 5 Mar 2026	Narrow	Large Value	High	Standard	7 Jan 2026 06:00, UTC

Financial Leverage (Reporting Currency)

Fiscal Year, ends 31 Jan	Actual			Forecast				
	2024	2025	2026	2027	2028	2029	2030	2031
Debt/Capital %	4.4	3.4	8.0	4.9	3.8	3.5	3.2	2.6
Assets/Equity	1.7	1.7	1.9	1.5	1.4	1.4	1.3	1.3
Net Debt/EBITDA	-0.2	-0.3	0.6	1.8	1.0	0.4	-0.2	-0.8
Total Debt/EBITDA	1.6	1.1	1.4	1.2	0.8	0.7	0.7	0.6
EBITDA/ Net Interest Expense	—	—	—	—	—	—	—	—

Forecast Revisions as of 5 Mar 2026

Prior data as of 25 Feb 2026	2027		2028		2029	
	Current	Prior	Current	Prior	Current	Prior
Fair Value Estimate Change (Trading Currency)	280.00	300.00	—	—	—	—
Revenue (USD Mil)	46,004	46,004	50,022	50,022	54,158	54,158
Operating Income (USD Mil)	9,526	9,526	11,368	11,368	13,106	13,106
EBITDA (USD Mil)	12,397	12,397	14,677	14,677	15,977	15,977
Net Income (USD Mil)	12,301	12,301	14,007	14,007	15,693	15,693
Earnings Per Share (Diluted) (USD)	7.90	7.90	9.72	9.72	10.87	10.87
Adjusted Earnings Per Share (Diluted) (USD)	13.13	13.13	14.95	14.95	16.75	16.75
Dividends Per Share (USD)	1.76	1.76	1.90	1.90	2.05	2.05

Key Valuation Drivers as of 04 Mar 2026

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	5.3
Weighted Average Cost of Capital %	8.8
Long-Run Tax Rate %	22.0
Stage II EBI Growth Rate %	4.2
Stage II Investment Rate %	35.4
Perpetuity Year	15

Additional estimates and scenarios available for download at <https://pitchbook.com/>.

Discounted Cash Flow Valuation as of 04 Mar 2026

	USD Mil
Present Value Stage I	121,165
Present Value Stage II	32,990
Present Value Stage III	111,296
Total Firm Value	265,452
Cash and Equivalents	9,565
Debt	14,439
Other Adjustments	0
Equity Value	260,578
Projected Diluted Shares	937
Fair Value per Share (USD)	280.00

Salesforce Inc CRM ★★★★★ 5 Mar 2026 20:35, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
193.08 USD 4 Mar 2026	280.00 USD 5 Mar 2026 20:32, UTC	0.69	188.70 USD Bil 5 Mar 2026	Narrow	Large Value	High	Standard	7 Jan 2026 06:00, UTC

ESG Risk Rating Breakdown

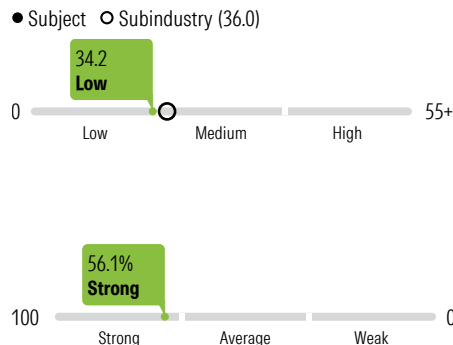
Exposure

Company Exposure¹	34.2
- Manageable Risk	31.8
Unmanageable Risk²	2.4

Management

Manageable Risk	31.8
- Managed Risk³	17.8
Management Gap⁴	13.9

Overall Unmanaged Risk 16.3



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 56.1% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment⁵



ESG Risk Rating is of Jan 07, 2026. Highest Controversy Level is as of Feb 08, 2026. Sustainability Subindustry: Enterprise and Infrastructure Software. Sustainability provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainability's scores for the company. For the most up to date rating and more information, please visit: sustainability.com/esg-ratings/.

Peer Analysis 07 Jan 2026

Peers are selected from the company's Sustainability-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure	Management	ESG Risk Rating
Salesforce Inc	34.2 Low 0 —●— 55+	56.1 Strong 100 —●— 0	16.3 Low 0 —●— 40+
Microsoft Corp	32.8 Low 0 —●— 55+	60.3 Strong 100 —●— 0	14.4 Low 0 —●— 40+
Adobe Inc	33.0 Low 0 —●— 55+	64.3 Strong 100 —●— 0	13.3 Low 0 —●— 40+
Oracle Corp	35.0 Low 0 —●— 55+	60.0 Strong 100 —●— 0	15.4 Low 0 —●— 40+
Pegasystems Inc	41.8 Medium 0 —●— 55+	42.4 Average 100 —●— 0	25.4 Medium 0 —●— 40+

Appendix

Historical Morningstar Rating

Salesforce Inc CRM 5 Mar 2026 20:35, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★

Adobe Inc ADBE 5 Mar 2026 20:22, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★★★	★★★★★	★★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★	★★★	★★★	★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★

Oracle Corp ORCL 5 Mar 2026 19:30, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★	★★★	★★★	★★	★★★	★★★	★★★★	★★★★	★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★	★	★	★	★	★	★	★	★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★	★	★	★	★	★	★	★	★	★★	★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★	★★	★★	★★★	★★	★★	★★★	★★	★★	★★	★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★	★	★	★	★	★	★★	★	★★	★★	★★	★★

Microsoft Corp MSFT 4 Mar 2026 22:25, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★★★★	★★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★★	★★★	★★★★	★★★	★★★★	★★★	★★★★	★★★	★★★★

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Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, in-depth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss short-term market-price movements), but we believe these negatives are mitigated by deep analysis and our long-term approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our single-point star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a

long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in working capital accounts, and capital spending. Based on these projections, we calculate earnings before interest,

after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

Margin of Safety		
Qualitative Analysis	★★★★★ Rating	★ Rating
Uncertainty Ratings		
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

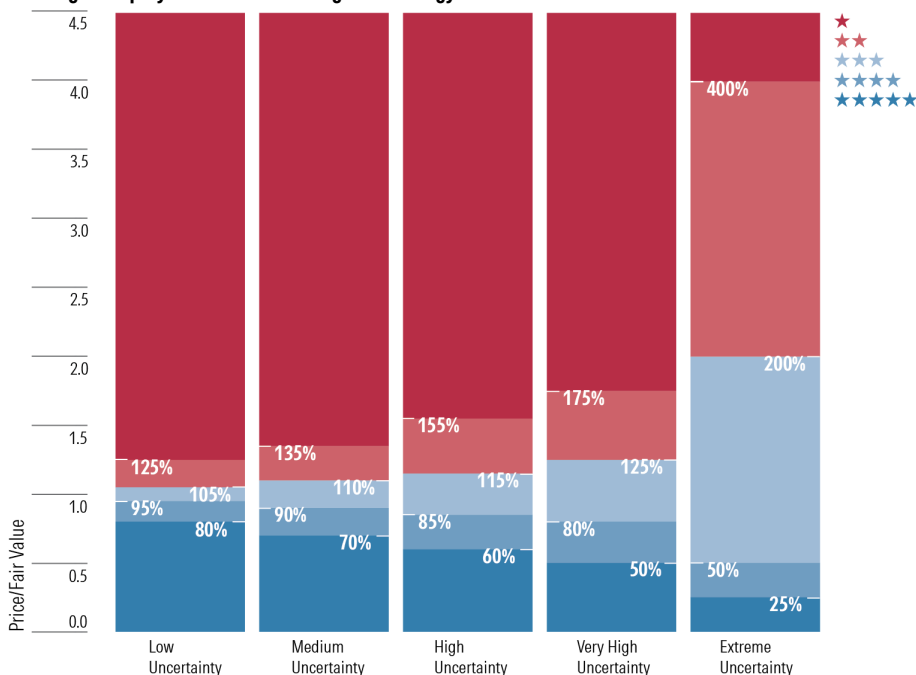
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to <https://shareholders.morningstar.com>

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk-adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multi-year time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score.

Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

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